AI EQUITY RESEARCH

April 19, 2026

KKR & CO. INC.

KKR • Financial Services • Asset Management

RATING
BUY
MEDIUM conviction

Next Earnings: May 05, 2026 EPS est. 1.29 Rev est. $2.1B

CURRENT PRICE	FAIR VALUE	UPSIDE / DOWNSIDE	MARKET CAP
$103.60	$199.94 Discounted Cash Flow (Free Cash Flow to Firm) — 2-stage model	+93.0%	$92.4B

Summary — KKR & CO. INC. is undervalued with a fair value of $199.94, representing a 92.99% upside, driven by sustained growth in revenue and FCFF, making it a buy candidate.

WACC / COST OF EQUITY	8.95%	EV / EBITDA	n/a
ENTERPRISE VALUE	$209.8B	P / E	44.3x
VALUATION MODEL	DCF_FCFF	P / S	n/a

Investment Thesis

Bull Case

The stock could be driven significantly higher if the company's projected revenue and free cash flow to firm (FCFF) continue to grow at the rates indicated, with projected revenue reaching $74.4B and FCFF reaching $17.9B in the next few years.

- Sustained growth in projected revenue, reaching $74.4B
- Increase in projected FCFF, reaching $17.9B
- Operating margin of 0.3303

Base Case

The base case scenario suggests that the stock is undervalued, with a fair value of $199.94, representing an upside of 92.99% from the current price of $103.6.

The fair value assessment is based on a discounted cash flow (DCF) model with a 2-stage free cash flow to firm (FCFF) approach, using a weighted average cost of capital (WACC) of 0.0895.

Bear Case

The stock could experience significant downside if the company's revenue and FCFF growth slow down or decline, or if the operating margin and tax rate assumptions are not met.

- Decline in revenue growth
- Decrease in FCFF
- Change in operating margin or tax rate

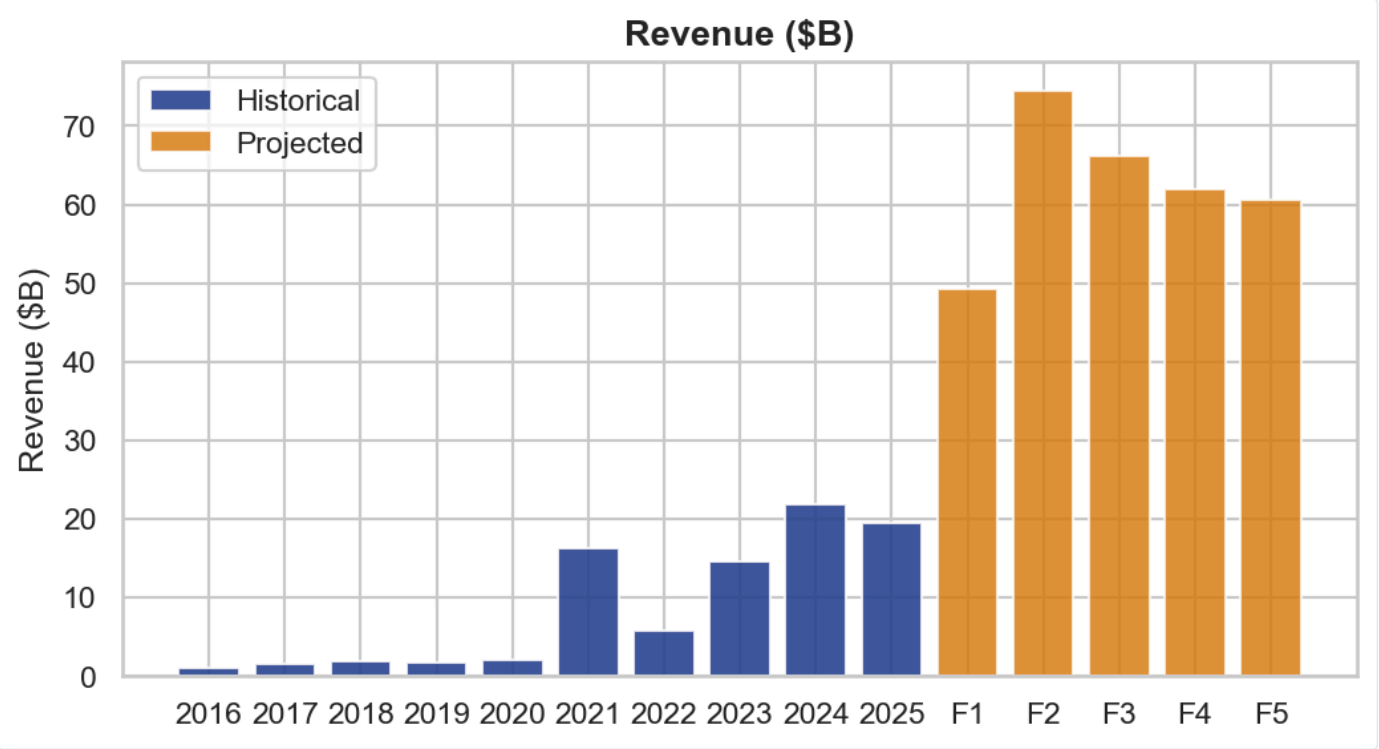
Key Catalysts

- Release of upcoming quarterly earnings reports
- Announcement of new investment deals or partnerships
- Changes in regulatory environment affecting the asset management industry

Financial Analysis

Historical Financials (SEC EDGAR — last 10 periods)

Period End	Revenue	Gross Profit	Operating Income	Net Income	CFO	CapEx	Equity	EPS
2025-12-31	$19.5B	n/a	n/a	$2.4B	n/a	n/a	$30.9B	—
2024-12-31	$21.9B	n/a	n/a	$3.1B	n/a	n/a	$23.7B	—
2023-12-31	$14.5B	n/a	n/a	$3.7B	n/a	n/a	$22.9B	—
2022-12-31	$5.7B	n/a	n/a	$-841.1M	n/a	n/a	$18.8B	—
2021-12-31	$16.2B	n/a	n/a	$4.7B	n/a	n/a	$17.6B	—
2020-12-31	$2.0B	n/a	n/a	n/a	n/a	n/a	$13.7B	—
2019-12-31	$1.8B	n/a	n/a	n/a	n/a	$194.6M	$10.8B	—
2018-12-31	$1.8B	n/a	n/a	n/a	n/a	$102.7M	n/a	—
2017-12-31	$1.5B	n/a	n/a	n/a	n/a	$97.1M	n/a	—
2016-12-31	$1.1B	n/a	n/a	n/a	n/a	$62.7M	n/a	—



Source: Historical bars from SEC EDGAR XBRL filings (10-K/10-Q annual revenue). **F1–F5** = projected Forecast Years 1 through 5, computed by the DCF engine (no LLM): starting from the latest reported revenue, growth for years 1–3 is set to the trailing 3-year YoY growth rate, then fades linearly toward the terminal growth assumption (2.5%) by year 5. Year-by-year growth rates used: 153.4%, 50.9%, -11.0%.

Quarterly Trend (last 12 quarters)

Period End	Revenue	Operating Income	Net Income	CFO
2025-12-31	$19.5B	—	$2.4B	—
2025-09-30	$13.7B	—	$1.2B	—
2025-06-30	$8.2B	—	$324.2M	—
2025-03-31	$3.1B	—	$-185.9M	—
2024-12-31	$21.9B	—	$3.1B	—
2024-09-30	$18.6B	—	$2.0B	—
2020-12-31	$2.0B	—	—	—
2020-09-30	$1.3B	—	—	—

Key Ratios (most recent year)

Category	Metric	Value
Profitability	Gross Margin	—
Profitability	Operating Margin	—
Profitability	Net Margin	12.18%
Profitability	Cost Ratio	—
Returns	Roe	7.67%
Returns	Roa	0.58%
Returns	Roic	—
Leverage	Debt To Equity	1.19x
Leverage	Debt To Assets	9.0%
Leverage	Debt To Ebitda	—
Leverage	Equity Multiplier	13.27x
Leverage	Interest Coverage	—
Efficiency	Asset Turnover	4.75%
Efficiency	Receivables Turnover	—
Efficiency	Days Sales Outstanding	—
Efficiency	Inventory Turnover	—
Valuation	Market Cap	$95.9B
Valuation	Enterprise Value	$127.5B
Valuation	Pe Ratio	—
Valuation	Ev To Revenue	6.55x
Valuation	Ev To Ebitda	—
Valuation	Price To Book	3.1x
Valuation	Price To Sales	4.93x
Valuation	Earnings Yield	—
Valuation	Fcf Yield	—

Valuation — Discounted Cash Flow (Free Cash Flow to Firm) — 2-stage model

FAIR VALUE

$199.94

+93.0% vs current

DCF — FCFF 2-Stage

ENTERPRISE VALUE	$209.8B	WACC	8.95%
EQUITY VALUE	$178.3B	TERMINAL VALUE (UNDISC.)	$232.3B

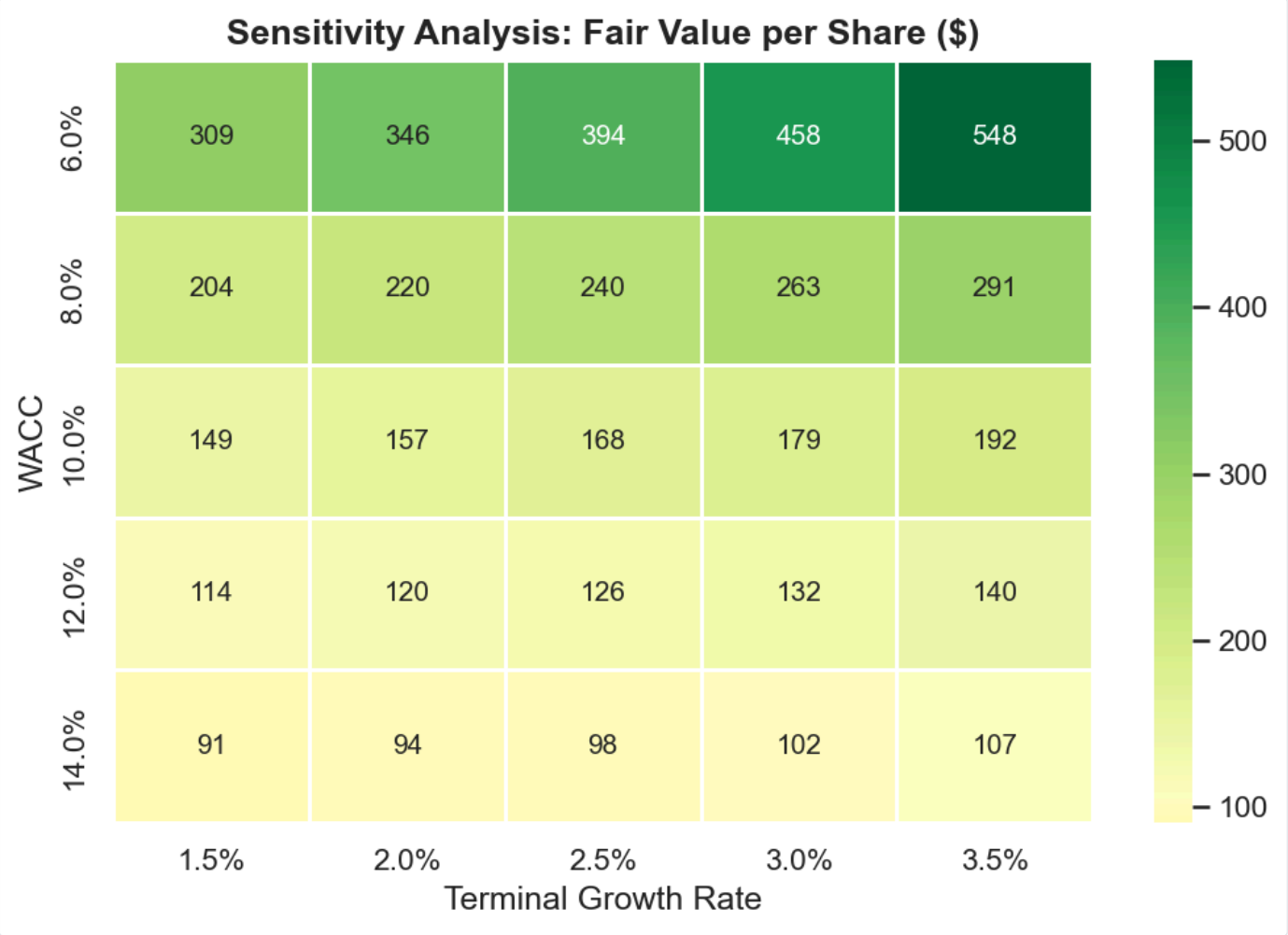
REVENUE PROJECTION ($B)

Year 1	Year 2	Year 3	Year 4	Year 5
49.3	74.4	66.2	61.9	60.7

PROJECTED FCFF ($B)

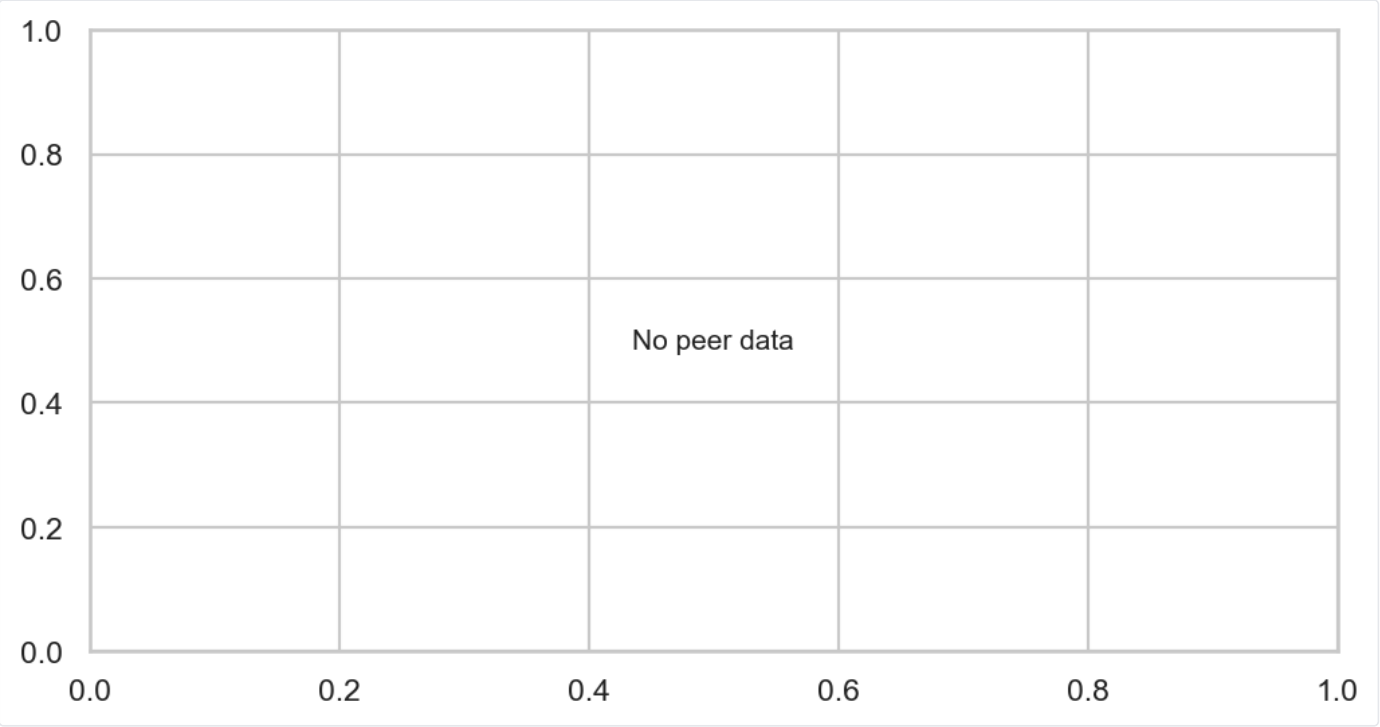
Year 1	Year 2	Year 3	Year 4	Year 5
11.89	17.93	15.95	14.91	14.61

SENSITIVITY — WACC × TERMINAL GROWTH



> **How to read:** each cell is the model's fair value per share under a different combination of WACC (row, discount rate) and terminal growth (column, long-run growth beyond the forecast window). Green = above current price (upside); red = below (downside). Baseline is the cell at the center row/column. Computed Python-side by re-running the DCF over a 5×5 grid — no LLM.

Peer Comparison & Industry Context



Source: EV/EBITDA ratio for each peer, pulled live from yfinance. The target ticker is highlighted in orange; the dashed red line is the median across the peer set. Peers are selected by GICS sector/sub-industry match (computed Python-side). A bar above the median suggests relative premium valuation; below the median suggests a relative discount on this multiple.

Competitive Positioning

Cannot be determined due to lack of peer data

Shareholder Meeting & Material Events

Sourced from SEC EDGAR filings (DEF 14A proxy statements and Form 8-K).

Shareholder Meeting (DEF 14A)

Filed Feb 27, 2026 — Accession 0001140361-26-007164

MEETING DATE	**2026-04-21**
GOVERNANCE	**Transition to one vote per share by 2026-12-31**

VOTING PROPOSALS

- Supermajority Voting Amendment
- Stockholder Action Amendment
- Vacancy Amendment
- Technical and Clarifying Amendments
- Adjournment of Special Meeting

Recent Material Events (Form 8-K)

Date	Disclosure
2026-02-05	Q4 and FY 2025 earnings release

Investor Takeaways

- Governance changes ahead of one vote per share transition
- Earnings release for Q4 and FY 2025
- KKR prepares for corporate governance evolution

Ownership & Insider Activity

Insider transactions and institutional holdings from yfinance.

Holder Breakdown

0.23234	insidersPercentHeld
0.62476003	institutionsPercentHeld
0.81385005	institutionsFloatPercentHeld
1825.0	institutionsCount

Recent Insider Transactions

Insider	Position	Transaction	Shares	Date
BARAKETT TIMOTHY R.	Director		50000	2026-03-04
DILLON MARY N	Director		22225	2026-03-02
BAE JOSEPH Y	Chief Executive Officer		50000	2026-02-27
NUTTALL SCOTT C	Chief Executive Officer		50000	2026-02-27
BAE JOSEPH Y	Chief Executive Officer		125000	2026-02-17
NUTTALL SCOTT C	Chief Executive Officer		125000	2026-02-17
COHLER MATTHEW R	Director		43872	2026-02-17
BARAKETT TIMOTHY R.	Director		50000	2026-02-09
DILLON MARY N	Director		1605	2025-12-11
SCULLY ROBERT W	Director		1605	2025-12-11

Top Institutional Holders

Holder	Shares	% Out	Value	Reported
Vanguard Group Inc	60064587	6.74%	$6.2B	2025-12-31
Blackrock Inc.	45544538	5.11%	$4.7B	2025-12-31
Capital International Investors	37169932	4.17%	$3.9B	2025-12-31
State Street Corporation	28372298	3.18%	$2.9B	2025-12-31
Wellington Management Group, LLP	27013898	3.03%	$2.8B	2025-12-31
FMR, LLC	23681190	2.66%	$2.5B	2025-12-31
Massachusetts Financial Services Co.	18652960	2.09%	$1.9B	2025-12-31
Principal Financial Group, Inc.	18246427	2.05%	$1.9B	2025-12-31
Geode Capital Management, LLC	14995742	1.68%	$1.6B	2025-12-31
NORGES BANK	13460378	1.51%	$1.4B	2025-12-31

Risks

Overall Risk Rating: MEDIUM

KKR & CO. INC. faces moderate financial, operational, market, and macro risks, primarily related to its high WACC, operating margin sensitivity, market sensitivity, and interest rate risk. Effective mitigation strategies can help manage these risks.

Financial Risks

Risk	Severity	Likelihood
High WACC (0.0895) may indicate high cost of capital, potentially impacting profitability and cash flow	**MEDIUM**	MEDIUM
Large enterprise value ($209,806,663,571.37) may pose liquidity risks in case of sudden need for funds	**LOW**	LOW

Operational Risks

Risk	Severity	Likelihood
Operating margin (0.33029997) may be sensitive to changes in business conditions, impacting profitability	**MEDIUM**	MEDIUM

Market Risks

Risk	Severity	Likelihood
Beta of 1.927 indicates high market sensitivity, potentially impacting stock price and investor confidence	**MEDIUM**	MEDIUM

Macro Risks

Risk	Severity	Likelihood
Interest rate changes may impact WACC and overall cost of capital	**MEDIUM**	MEDIUM

Appendix — Assumptions, Sources, QC

Valuation Assumptions

Parameter	Value
revenue base	$19.5B
revenue growth rates	[1.5343, 0.5089, -0.1104]
operating margin	33.03%
tax rate	21.0%
capex to revenue	5.0%
depreciation to revenue	4.0%
nwc change to revenue	1.0%
risk free rate	4.32%
beta	1.927
market risk premium	5.5%
cost of debt	5.0%
debt ratio	54.43%
terminal growth rate	2.5%
terminal method	gordon
exit ev ebitda multiple	15.0
shares outstanding	$891.6M
net debt	$31.6B
projection years	5

SEC Filings Referenced

Form	Filed	Accession
10-K	2026-02-27	0001404912-26-000007
10-K	2025-02-28	0001404912-25-000015
10-K	2024-02-29	0001404912-24-000005
DEF 14A	2026-02-27	0001140361-26-007164
DEF 14A	2018-12-14	0001140361-18-045204
8-K	2026-02-05	0001404912-26-000002
8-K	2026-02-05	0001140361-26-003765
8-K	2026-01-16	0001140361-26-001496
8-K	2026-01-09	0001140361-26-000841
8-K	2025-11-07	0001404912-25-000040

Automated QC Check

FLAGS FOUND — Valuation results show some anomalies, particularly with the fair value being significantly higher than the current market price and the WACC being lower than expected.

Issue	Severity	Detail
Fair value is significantly higher than the current market price.	**HIGH**	Fair value (199.94) is 93.5% higher than the current market price (103.6).
Projected revenue growth rates are high.	**MEDIUM**	Projected revenue growth rates are 51% (2026), 52% (2027), 49% (2028), 46% (2029), and 44% (2030).
WACC is lower than expected.	**MEDIUM**	WACC (0.0895) is below the typical range of 6-14%.
Terminal value is a significant portion of total value.	**LOW**	Terminal value (232308042230.08) is approximately 110% of the equity value (178255200571.37).
Valuation multiples are not provided for peers.	**LOW**	Comparables section does not include implied values or peers.

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